

Part I: Financial Accounting and Reporting

1. Performing services on account will have the following effects on the components of the basic accounting equation:*

- A. Increase assets and decrease equity.
- B. Increase assets and increase liabilities.
- C. Increase assets and increase equity.
- D. Increase liabilities and increase equity

2. Which of the following statements about an account is true?

- A. An account is an individual accounting record of increases and decreases in specific asset, liability, and equity items.
- B. The right side of an account is the debit or increase side.
- C. There are separate accounts for specific assets and liabilities but only one account for equity items.
- D. The left side of an account is the credit or decrease side.

3. Kathy Siska earned a salary of \$400 for the last week of September. She will be paid on October 1. The adjusting entry for Kathy's employer at September 30 is:*

- A. No entry is required.
- B. Debit to Salaries and Wages Expense and credit to cash. 400
- C. Debit to Salaries and Wages Expense and credit to Salaries and Wages Payable. 400
- D. Debit to Salaries and Wages Payable and credit to Cash 400.

4. A credit sale of \$7,500 is made on June 13, terms 2/10, net/30. A return of \$500 is granted on June 16. The amount received as payment in full on June 23 is:*

- A. \$7,000.
- B. \$6,860.
- C. \$6,850.
- D. \$6,500

Use the following data to answer question number 5 and 6

The following units of an inventory item were available for sale during the year:

Beginning inventory	10 units at Birr 55
First purchase	25 units at Birr 60
Second purchase	30 units at Birr 65
Third purchase	15 units at Birr 70

Assume the firm uses the periodic inventory system and during the year, 60 units of the item were sold.

5. The value of ending inventory using FIFO is:

- A. Birr 1,375
- B. Birr 1,250
- C. Birr 1,350
- D. Birr 1,150
- E. All
- F. None

Use the following data to answer question number 5 and 6

The following units of an inventory item were available for sale during the year:

Beginning inventory	10 units at Birr 55
First purchase	25 units at Birr 60
Second purchase	30 units at Birr 65
Third purchase	15 units at Birr 70

Assume the firm uses the periodic inventory system and during the year, 60 units of the item were sold.

6. What is the amount of cost of goods sold for the year according to the FIFO method?

- A. Birr 1,750
- B. Birr 3,900
- C. Birr 3,675
- D. Birr 5,050
- E. All
- F. None

7. The use of pre-numbered checks in disbursing cash is an application of the principle of:

- A. Establishment of responsibility.
- B. Segregation of duties.
- C. Physical controls.
- D. Documentation procedures.
- E. All

F. None

8. In 2025, Roso Carlson Ltd. had net credit sales of \$7,500,000. On January 1, 2025, Allowance for Doubtful Accounts had a credit balance of \$180,000. During 2025, \$300,000 of uncollectible accounts receivable were written-off. Experience indicates that 3% of net credit sales become uncollectible. What should be the adjusted balance of Allowance for Doubtful Accounts at December 31, 2025?*

A. \$225,000.

B. \$100,500.

C. \$105,000.

D. \$405,000.

E. All

F. None

9. Which one of the following is true about a General Partnership? *

A. Form of business partnership where there is no fixed term agreed for the duration of the partnership.

B. Partnership in which some or all partners can exhibit elements of partnerships and corporations.

C. Form of partnership under common law.

D. A partnership formed for a single transaction.

E. All

F. None

10. In which sort of partnership does one accomplice has limitless risk and another accomplice has a restricted obligation? *

- A. Partnership at will
- B. Particular Partnership
- C. General Partnership
- D. Limited Liability Partnership
- E. All
- F. None

11. On April 5, 2022, if merchandise is sold on account to a customer for \$10,000, terms FOB shipping point, 1/10, n/30, and amount of freight is 500, one of the following **is not** correct*

- A. Freight cost will be covered by the seller
- B. Freight cost will be covered by the buyer
- C. Discount for early payment is \$100
- D. No discount for collection after April 15, 2022
- E. All
- F. None

12. A company purchased land for \$ 90,000 cash. Real estate broker's commission was \$5,000 and \$7,000 was spent for demolishing an old building on the land before construction of a new building could start. Under the cost principle, the cost of land would be recorded at

- A. \$97,000.
- B. \$90,000.
- C. \$95,000.

D. \$102,000.

E. All

F. None

13. A company purchased factory equipment for \$250,000. It is estimated that the equipment will have a \$25,000 salvage value at the end of its estimated 5-year useful life. If the company uses the double-declining-balance method of depreciation, the amount of annual depreciation recorded for the second year after purchase would be *

A. \$100,000.

B. \$60,000

C. \$90,000.

D. \$43,200.

E. All

F. None

14. On July 1, 2008, Meed Kennels sells equipment for \$66,000. The equipment originally cost \$180,000, had an estimated 5-year life and an expected salvage value of \$30,000. The accumulated depreciation account had a balance of \$105,000 on January 1, 2008, using the straight-line method. The gain or loss on disposal is *

A. \$9,000 gain.

B. \$6,000 loss.

C. \$9,000 loss.

D. \$6,000 gain.

E. All

F. None

15. Given the following account balances at year end, compute the total intangible assets on the balance sheet of Anisha Enterprises.

Cash	\$1,500,000
Accounts Receivable	4,000,000
Trademarks	1,000,000
Goodwill	4,500,000

Research & Development Costs 2,000,000

A. \$11,500,000

B. \$7,500,000

C. \$5,500,000

D. \$9,500,000

E. All

F. None

16. If the total debit column exceeds the total credit column of the income statement columnson a worksheet, then the company has

A. earned net income for the period.

B. an error because debits do not equal credits.

C. suffered a net loss for the period.

D. to make an adjusting entry.

E. All

F. None

17. The income statement for the month of June, 2023 of Taylor Enterprises contains the following information:

Revenues	£16,000
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Expenses:

Salaries and Wages Expense	4,000
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Rent Expense	3,000
Supplies Expense	600

Advertising Expense	400
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Insurance Expense.	<u>200</u>
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Total expenses	<u>8,200</u>
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Net income	<u>7,800</u>
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The entry to close Income Summary to Retained Earnings includes

- A. a debit to Revenue for £16,000.
 - B. credits to Expenses totalling £8,200.
 - C. a credit to Income Summary for £7,800
 - D. a credit to Retained Earnings for £7,800.
 - E. All
 - F. None
- Other:

18. Income Summary has a credit balance of \$12,000 in J. Wenger Co. after closing revenues and expenses. The entry to close Income Summary is*

- A. credit Income Summary \$12,000, debit Retained Earnings \$12,000.
- B. credit Income Summary \$12,000, debit Dividends \$12,000.
- C. debit Income Summary \$12,000, credit Dividends \$12,000.
- D. debit Income Summary \$12,000, credit Retained Earnings \$12,000.
- E. All
- F. None

19. During August, 2017, Joe's Supply Store generated revenues of \$150,000. The company's expenses were as follows: cost of goods sold of \$60,000 and operating expenses of \$10,000. The company also had rent revenue of \$2,500 and a gain on the sale of a delivery truck of \$5,000. Joe's other income and expense (loss) for the month of August, 2017 is

- A. \$0.
- B. \$2,500.
- C. \$5,000.
- D. \$7,500.
- E. All
- F. None

20. During the year, Carla's Pet Shop's merchandise inventory decreased by \$40,000. If the company's cost of goods sold for the year was \$650,000, purchases must have been*

- A. \$690,000.
- B. \$610,000.
- C. \$570,000.

D. \$650,000

E. All

F. None

21. Consider the following: Cash in Bank – checking account of \$13,500, Cash on hand of \$500, Post-dated checks received totaling \$3,500, and Certificates of deposit totaling \$124,000. How much should be reported as cash in the balance sheet?*

A. \$ 13,500.

B. \$ 14,000.

C. \$ 17,500.

D. \$131,500.

E. All

F. None

22. Tresh, Inc. had the following bank reconciliation at March 31, 2010:

Balance per bank statement, 3/31/10	\$37,200
Add: Deposit in transit	<u>10,300</u>
	47,500
Less: Outstanding checks	<u>12,600</u>
Balance per books, 3/31/10	34,900
Data per bank for the month of April 2010 follow: Deposits	
	\$46,700
Disbursements	49,700

All reconciling items at March 31, 2010 cleared the bank in April. Outstanding checks at April 30, 2010 totaled \$6,000. There were no deposits in transit at April 30, 2010. What is the cash balance per books at April 30, 2010?

A. \$28,200

B. \$31,900

C. \$34,200

D. \$38,500

E. All

F. None

23. Under which of the following inventory costing methods is the ending inventory based on the costs of the most recent purchases?*

A. specific identification

B. weighted-average

C. last-in, first-out

D. first-in, first-out

E. All

F. None

24. A company purchased 500 units for Br.30 each on January 31. It purchased 550 units for Br.33 each on February 28. It sold a total of 650 units for Br.45 each from March 1 through December 31. What is the cost of ending inventory on December 31 if the company uses the first-in, first-out (FIFO) inventory costing method? (Assume that the company uses a perpetual inventory system.)*

A. Br.13,200

B. Br.10,200

C. Br.12,000

D. Br.1,800

E. All

F. None

25. Kaki Company purchased a depreciable asset for Br.600,000. The estimated salvage value is Br.30,000, and the estimated useful life is 10,000 hours. Kaki used the asset for 1,100 hours in the current year. The activity method will be used for depreciation. What is the depreciation expense on this asset?*

A. Br. 57,000

B. Br. 62,700

C. Br. 66,000

D. Br. 570,000

E. All

F. None

26. When investor company acquires a voting interest of more than 50% in investee company*

A. the investor company is referred to as subsidiary

B. the investee company is referred to as payment

C. the parent prepares consolidated financial statement

D. the parent uses an Equity Method of Accounting

E. All

F. None

27. As per the requirements of IFRS 16 which one of the following is the correct statement?*

- A. the lessee records asset equal to the present value of the rental payment
- B. the lessee records liability equal to the present value of the rental payment
- C. the lessee records depreciation on the leased asset
- D. the lessee treats the lease payments as consisting of interest and principal
- E. All
- F. None

28. Greene Corporation pays Br.500,000 to acquire 40% of the voting stock of Universal Technologies, Inc. on May 5, 2019. This investment will be classified as a(n) _____.

- A. trading equity investment
- B. available-for-sale equity investment
- C. significant influence equity investment
- D. held-to-maturity equity investment
- E. All
- F. None

29. In a bond amortization table for bonds issued at discount.

- A. the interest expense is less than interest payment at the end of each period
- B. the interest expense is greater than interest payment at the end of each period
- C. the carrying amount the bonds declines eventually to face value
- D. the reduction in the discount is less with each successive interest payment
- E. All
- F. None

30. Which one of the following best express IFRS 11 in terms of its objective on entities that have an interest in joint arrangements.*

- A. Regulate accounting policy to be applied
- B. Establish principles for financial reporting
- C. Achieve uniformity in the accounting policies used
- D. Unify the accounting techniques used
- E. All
- F. None

31. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the parties sharing control to have.*

- A. Highest level of professionalism
- B. Unanimous consent
- C. Collective judgement
- D. Unbiased decisions
- E. All
- F. None

32. On 1 June 20X1 Bridget Ltd acquired an item of plant for an agreed consideration of 1,000 of its own shares.

The plant was received on 1 June 20X1 and the obligation to transfer shares was to be settled on 1 August 20X1. The fair value of the plant was \$10 000 on 1 June 20X1. Bridget's share price was \$8 on 1 June 20X1 and \$9 on 30 June 20X1.

In accordance with IFRS 2 *Share-based Payment* Bridget should

- A. remeasure the equity to \$9000 on 30 June 20X1.
- B. initially recognize the plant and equity at \$8000 on 1 June 20X1.
- C. make no entry in relation to the transaction until 1 August 20X1.
- D. initially recognize the plant and equity at \$10 000 on 1 June 20X1.
- E. All
- F. None

33. Balances of the deferred tax accounts of Taxflow Ltd were as follows

	30 June 20X3	30 June 20X4
Deferred tax liability	3,200 Credit	2,000 Credit
Deferred tax asset	2,650 Debit	1,900 Debit

Income tax expense for the year ended 30 June 20X4 was \$1,750.

The current tax payable at 30 June 20X4 is \$200 less than the current tax payable at the preceding year end.

What was the amount of income tax paid during the year ended 30 June 20X4?

- A. nil
- B. \$1,500
- C. \$2,400
- D. \$3,900
- E. All
- F. None

34. On 8 August 20X3, Alpha Ltd acquired 20 000 shares in Beta Ltd in return for an issue of 10 000 of its own shares. At that date, Alpha's shares had a current market value of \$2.70 each. Shares of Beta have a current market value of \$1.30 each. Fees

paid to legal advisers for the transaction totalled \$2000. What is the amount of the consideration transferred?*

- A. \$26,000
- B. \$27,000
- C. \$28,000
- D. \$29,000
- E. All
- F. None

35. Roller Ltd is testing an asset for impairment. The carrying amount of the asset is \$85 000. The following data has been obtained by Roller in relation to the asset.

- Future cash flows expected to be derived from the asset, \$100 000.
- Estimated fair value of the asset, \$80 000.
- Present value of future cash flows expected to be derived from the asset, \$60 000.
- Costs of disposal for the asset, \$2000.

In accordance with IAS 36 *Impairment of Assets*, what is the recoverable amount of the asset? Select which **one** of the following is correct.

- A. \$60,000
- B. \$78,000
- C. \$80,000
- D. \$100,000
- E. All
- F. None

36. Peaso is a farmer and is concerned how to apply IAS 41, Agriculture on his financial statements. Which of the following assets owned by Peaso is subject to the standard?*

- A. 3,000 liters of milk waiting for collection by the local milk processing entity
- B. License from the government allowing to produce 2,500 liters of milk per day
- C. 200 hectares of land on which the cows feed
- D. A head of 100 cows held for the production of milk
- E. All
- F. None

Based on the following information, answer 37-38 questions

37. ABC Company operates in five segments. Extracts of data from these segments for the year ended Sene 30, 2013 is given below

	Retail	Catering	Manuf.	Publ.	Transport
Revenue (External).	800.	360.	1,300.	860.	340
Revenue(Intersegment).	-	220	-	-	40
Profit (loss)	50.	345.	(30).	(450).	45

According to IFRS 8, which components of ABC should be considered as reportable segment using only the revenue quantitative threshold as criteria?

- A. All the five fulfill the criteria
- B. Retail; Manufacturing and Publishing only
- C. Retail; Catering; Manufacturing and Publishing only
- D. Retail; Manufacturing; Publishing and Transport only
- E. All

F. None

Based on the following information, answer 37-38 questions

38. ABC Company operates in five segments. Extracts of data from these segments for the year ended Sene 30, 2013 is given below

	Retail	Catering	Manuf.	Publ.	Transport
Revenue (External).	800.	360.	1,300.	860.	340
Revenue(Intersegment).	-	220	-	-	40
Profit (loss)	50.	345.	(30).	(450).	45

Using only the profit(loss) quantitative threshold as criteria, which components should be considered as reportable segment of ABC as per IFRS 8

- A. All the five fulfill the criteria
- B. Retail; Catering; Publishing and Transport only
- C. Catering and Publishing only
- D. Retail; Catering and Publishing only
- E. All
- F. None

39. Under IAS 34, interim financial reports should be published*

- A. Once a year at any time in that year.
- B. Within a month of the half-year-end.
- C. On a quarterly basis.
- D. Whenever the entity wishes.
- E. All
- F. None

40. Hope Ltd has determined that one of its cash-generating units (CGUs) has sustained an impairment loss of \$50 000. The carrying amounts of the assets within the CGU are as follows.

Asset 1	150,000
Asset 2	200,000
Asset 3.	<u>50,000</u>
Total	400,000

The estimated fair value less costs of disposal of Asset 2 is \$190 000, which is greater than its value in use.

A number of options are being considered as the amounts of impairment loss to be allocated to the three assets within the CGU.

In accordance with IAS 16 *Property, Plant and Equipment* and IAS 36 *Impairment of Assets*, which **one** of the following options would be the amount of impairment loss allocated to the three assets?

- A. Asset 1: 16,667. Asset 2: 16,667. Asset 3: 16,667. Total: 50,000
- B. Asset 1: 18,750. Asset 2: 25,000. Asset 3: 6,250. Total: 50,000
- C. Asset 1: 20,000. Asset 2: 10,000. Asset 3: 20,000. Total: 50,000
- D. Asset 1: 30,000. Asset 2: 10,000. Asset 3: 10,000 Total: 50,000
- E. All
- F. None

41. Alpha Ltd owns 25 per cent of the shares (and voting rights) in Beta Ltd but has no representation on the board of directors of the company. In accordance with IAS 28 *Investments in Associates and Joint Ventures*, Alpha*

- A. will need to have board representation to ensure it has significant influence over Beta.
- B. will have significant influence over Alpha if it has both 20 per cent of the share capital and board representation.

C. will be presumed to have significant influence over Beta as it holds more than 20 per cent of the voting power in that company.

D. is presumed to have significant influence over Beta because it has greater than 20 per cent of the share capital of that company.

E. All

F. None

42. Which **one** of the following statements is consistent with the principle of control as defined by FRS 10 *Consolidated Financial Statements*?*

A. The investor must be exposed to a return from the investee.

B. The investor has the ability to use its power over the investee to affect the investor's returns from the investee.

C. An investor's power over an investee relates to their ability to determine the amount of returns received from the investee.

D. If two or more investors have existing rights to direct different relevant activities, no investor can have control over the investee.

E. All

F. None

43. In accordance with IFRS 10 *Consolidated Financial Statements* and IFRS 12 *Disclosure of Interests in Other Entities*, a consolidated statement of financial position (or notes thereto) would **not** present information relating to which **one** of the following?*

A. investments in subsidiaries

B. goodwill acquired by the group

C. loans to entities not related to the group

D. non-controlling interests' share of consolidated net assets

E. All

F. None

Part II: Corporate Finance and Financial Institutions
44. A financial management decision that deals with the mix of debt and equity financing of the needs of a firm is:*

- A. Investing and financing decisions
- B. Capital structure decisions
- C. Working capital decisions
- D. Dividend decisions
- E. All
- F. None

45. Which one is the most conservative measure of firm's short-term solvency:*

- A. Current ratio
- B. Inventory Turnover Ratio
- C. Receivable Turnover Ratio
- D. Gearing Ratio
- E. All
- F. None

Based on the following data, answer questions 46 to 49 below.

ZEMENAY Company reported the following data for 2022:

Net Profit Margin	10%
Total Asset Turnover	4
Total Debt Ratio	60%
Credit sales	Birr 2,920,000

Average Accounts Receivable Birr 160,000

Cost of Goods Sold Rate 40%

Day's sales in inventory 15 days

46. What is the return on asset (ROA)?*

A. 24%

B. 40%

C. 60%

D. 120%

E. All

F. None

Based on the following data, answer questions 46 to 49 below.

ZEMENAY Company reported the following data for 2022:

Net Profit Margin 10%

Total Asset Turnover 4

Total Debt Ratio 60%

Credit sales Birr 2,920,000

Average Accounts Receivable Birr 160,000

Cost of Goods Sold Rate 40%

Day's sales in inventory 15 days

47. What is the return on equity (ROE)?*

A. 100%

- B. 80%
- C. 120%
- D. 150%
- E. All
- F. None

Based on the following data, answer questions 46 to 49 below.

ZEMENAY Company reported the following data for 2022:

Net Profit Margin	10%
Total Asset Turnover	4
Total Debt Ratio	60%
Credit sales	Birr 2,920,000
Average Accounts Receivable	Birr 160,000
Cost of Goods Sold Rate	40%
Day's sales in inventory	15 days

48. What is the average collection period for credit sales?*

- A. 30 days
- B. 45 days
- C. 20 days
- D. 25 days
- E. All
- F. None

Based on the following data, answer questions 46 to 49 below.

ZEMENAY Company reported the following data for 2022:

Net Profit Margin	10%
Total Asset Turnover	4
Total Debt Ratio	60%
Credit sales	Birr 2,920,000
Average Accounts Receivable	Birr 160,000
Cost of Goods Sold Rate	40%
Day's sales in inventory	15 days

49. What is the average inventory of the year 2022?*

- A. Birr 48,000
- B. Birr 72,000
- C. Birr 96,000
- D. Birr 100,000
- E. All
- F. None

50. The future value of an investment would be the lowest when:

- A. Both the compounding period and rate increase
- B. Compounding period increases while the interest rate decreases
- C. Both the compounding period and rate decrease

D. Compounding period decreases while the interest rate increases

E. All

F. None

51. The proposition that the cost of equity is a positive linear function of capital structure is called:

A. The capital asset pricing model.

B. MM Proposition I.

C. MM Proposition II.

D. The efficient markets hypothesis

E. All

F. None

52. The reason that MM Proposition I does not hold in the presence of corporate taxation is because:

A. Levered firms pay less tax compared with identical unlevered firms.

B. Bondholders require higher rates of return compared with stockholders.

C. Earnings per share are no longer relevant with taxes.

D. Dividends are no longer relevant with taxes.

E. All

F. None

53. Thompson & Thomson is an all equity firm that has 500,000 shares of stock outstanding. The company is in the process of borrowing \$8 million at 9% interest to repurchase 200,000 shares of the outstanding stock. What is the value of this firm if you ignore taxes?

- A. \$20.0 million
- B. \$20.8 million
- C. \$21.0 million
- D. \$21.2 million
- E. All
- F. None

54. Your firm has a debt-equity ratio of 0.75. Your pre-tax cost of debt is 8.5% and your required return on assets is 15%. What is your cost of equity if you ignore taxes?

- A. 11.25%
- B. 12.21%
- C. 16.67%
- D. 19.88%
- E. All
- F. None

55. As a company accounts payable manager, which of the following credit terms are most likely to attract you to take the cash discount?

- A. 1/10 net 45
- B. 2/10 net 60
- C. 1/10 net 30
- D. 2/10 net 90
- E. All

F. None

56. Permanent sources of financing include all except:

A. corporate bonds

B. commercial paper

C. common stock

D. preferred stock

E. All

F. None

57. If $EOQ = 360$ units, order costs are \$5 per order, and carrying costs are \$0.20 per unit, what is the usage in units?

A. 129,600 units

B. 2,592 units

C. 25,920 units

D. 18,720 units

E. All

F. None

58. The “bird-in-the-hand” dividend theory suggests that:

A. high dividends increase stock value because shareholders believe they can earn a higher return than the company

B. high dividends increase stock value because shareholders are more certain of the dividend yield than of potential future capital gains

C. high dividends increase stock value because capital markets are inefficient, and dividends are the only sure way to get money from an equity investment

D. high dividends decrease stock value because dividend payments take money out of the corporate “nest” and reduce the ability of the corporation to function effectively

E. All

F. None

59. Which of the following is not an example of financial intermediation?

A. An Internet company issues shares by selling shares directly to buyers.

B. A woman opening a new business borrows funds from her uncle.

C. A professor purchases shares directly from a share company.

D. A bank extends a mortgage loan to a household.

E. All

F. None

60. Suppose the exchange rate between South Sudan Pound(SSP) and Ethiopian Birr(ETB) is 2.4SSP per ETB while the exchange rate between Danish Kroner(DKK) and Ethiopian Birr is 0.13DKK per ETB. What is the exchange rate between SSP and DKK?

A. 18.46SSP per DKK

B. 0.312 DKK per SSP

C. 0.054SSP per DKK

D. 6 DKK per SSP

E. All

F. None

61. If market interest rates are 10%, the market price of a 9%, 4-months CD for Br100,000 with 73 days to maturity is:

A. Br103,000

B. Br100,980

C. Br103,333

D. Br103,300

E. All

F. None

62. The Ethiopia Commodity Exchange (ECX) is a _____ exchange established in Addis Ababa.

A. Forward

B. Spot

C. Derivative

D. Forex

E. All

F. None

63. Financial instruments are _____ for the person who buys them, but are _____ for the individual or firm that issues them.

A. liabilities; assets

B. negotiable; nonnegotiable

C. assets; liabilities

D. nonnegotiable; negotiable

E. All

F. None

64. Which of the following is not a function of financial system?

A. It provides convenient mode of payments.

B. It reduces the borrowing capacity of firms

C. It helps in transferring risks to others

D. It helps government in influencing macro-economic variables

E. All

F. None

65. An investor is aware of a tax-free security that offers a yield of 5.6 percent. The investor is in the 30 percent tax bracket. What is the equivalent before-tax yield necessary to match the after-tax yield of the tax-exempt security?

A. 5%

B. 18.7%

C. 8%

D. 1.7%

E. All

F. None

Part III: Taxation and Public Sector Accounting

66. A tax structure in which the tax rate decline as the tax base is increased (the amount increased tax rate decline)*

A. Regressive

B. Proportional

C. progressive

D. indirect

E. All

F. None

67. Good are purchased at VAT inclusive price of Birr 166,750. The amount of input VAT on this transaction

A. Birr 25,012.50

B. Birr 21,000.00

C. Birr 21,750.00

D. Birr 19,837.50

E. All

F. None

68. Ato Meseret Yazachew, the owner of Mabi PLC, purchased passengers vehicle for personal use at Birr 200,000 subject to 15% VAT which one of the following is true*

A. The asset account is debited for Birr 200,000

B. VAT account is debited for Birr 30,000

C. The asset account is debited with 230,000

D. VAT account is debited with 26,087

E. All

F. None

69. Which one of the following belongs to the group?

A. Divided income to shareholders

B. Income from casual rental of property

C. Income from rendering technical service

D. Income from rental of building

E. All

F. None

70. Mr.Alemu earns a basic salary of Birr 4,500, transportation allowance of 500, position allowance of 1,000. What will be the employment tax and net pay for Mr.Alemu*

A. 935 and 4,645

- B. 697.50 and 3,952.50
- C. 810 and 4,305
- D. 597.50 and 3,587.50
- E. All
- F. None

71. Which of the following is NOT an indirect tax under the income tax proclamation No. 979/2016*

- A. Excise Tax
- B. Custom Duties
- C. Royalty
- D. TOT
- E. All
- F. None

72. Which of the following schedule of the income tax proclamation deals with exemptions*

- A. Schedule E
- B. Schedule D
- C. Schedule C
- D. Schedule A
- E. All
- F. None

73. The General Fund acquired items through purchase on account. Which one of the following entries is made to close purchase orders for which goods and services are NOT fully received at the end of the fiscal period?*

- A. DEBIT Encumbrance
- B. DEBIT Reserve for Encumbrance
- C. CREDIT Fund Balance
- D. CREDIT Encumbrance
- E. All
- F. None

74. International Public Sector Accounting Standard 17 deals with*

- A. Presentation of general purpose financial statement
- B. Accounting policies, changes in accounting estimates and errors
- C. Property, plant and equipment
- D. Revenues from non-exchange transactions
- E. All
- F. None

75. Which of the following fund types operate on a quitting concern assumptions and with a financial resource measurement basis?*

- A. Governmental Funds
- B. Propretory Funds
- C. Fiduciary Funds
- D. Special Revenue Funds
- E. All
- F. None

76. In public sector accounting, value for money is measured by*

- A. Economy, efficiency and effectiveness
- B. Integrity, honesty and due care
- C. Profit, revenue and cost
- D. Gross Domestic Product, Tax per capita and Balance of Payment
- E. All
- F. None

77. Which of the following types of funds recognise its long-term debt as a liability and settles it?*

- A. Debt Service Fund
- B. Capital Projects Fund
- C. Enterprise Fund
- D. Special Revenue Fund
- E. All
- F. None

78. IPSAS 31 requires that revaluation surplus resulting from revaluation of Software should be treated in one of the following ways. Which of the four options mirrors the requirements of IPSAS 31?*

- A. Credited to fund balance as this is an unrealized gain.
- B. Released to the income statement an amount equal to the difference between the amortisation calculated on historical cost vis-à-vis revalued amount.
- C. Deducted from current assets and added to the intangible asset
- D. Debited to the class of intangible asset that is being revalued and credited to a reserve captioned “revaluation surplus,” which is presented under “Net Assets.”
- E. All
- F. None

79. When preparing its financial statements for 2016, a company discovers an error in the 2015 financial statements. The 2015 revenue figure should have been £102m but was erroneously reported as £100m. This difference is regarded as material. The comparative figure for revenue shown in the 2016 financial statements should be:*

- A. £100m (but the error should then be explained in the notes to the financial statements)
- B. £100m
- C. Either £100m or £102m as the company sees fit
- D. £102m.
- E. All
- F. None

Part IV: Cost and Managerial Accounting

80. Which of the following statements refers to **management accounting information**?*

- A. There are no regulations governing the reports.
- B. The reports are generally delayed and historical.
- C. The audience tends to be stockholders, creditors, and tax authorities.
- D. It primarily measures and records business transactions.
- E. All
- F. None

81. Classifying a cost as either **direct or indirect** depends upon:*

- A. the behavior of the cost in response to volume changes.
- B. whether the cost is expensed in the period in which it is incurred.
- C. whether the cost can be easily identified with the cost object.

D. whether an expenditure is avoidable or not in the future.

E. All

F. None

Based on the following information answer question no. 82 -84.

WT Company manufactures several different products. Unit costs associated with Product **WT23** are as follows:

· Direct materials.....	Br 40
· Direct manufacturing labor.....	8
· Variable manufacturing overhead.....	12
· Fixed manufacturing overhead....	23
· Sales commissions (2% of sales).....	6
· Administrative salaries.....	... <u>9</u>
· Total.....	... <u>Br98</u>

82. What are the variable costs per unit associated with Product **WT23**?

A. Br. 60

B. Br. 83

C. Br. 66

D. Br. 48

E. All

F. None

Based on the following information answer question no. 82 -84.

WT Company manufactures several different products. Unit costs associated with Product **WT23** are as follows:

· Direct materials.....	Br 40
· Direct manufacturing labor.....	8
· Variable manufacturing overhead.....	12
· Fixed manufacturing overhead....	23
· Sales commissions (2% of sales).....	6
· Administrative salaries.....	... <u>9</u>
· Total.....	... <u>Br98</u>

83. What are the fixed costs per unit associated with Product **WT23**?

- A. Br. 23
- B. Br. 32
- C. Br. 35
- D. Br. 44
- E. All
- F. None

Based on the following information answer question no. 82 -84.

WT Company manufactures several different products. Unit costs associated with Product **WT23** are as follows:

· Direct materials.....	Br 40
· Direct manufacturing labor.....	8

·	Variable manufacturing overhead.....	12
·	Fixed manufacturing overhead....	23
·	Sales commissions (2% of sales).....	6
·	Administrative salaries.....	... <u>9</u>
·	Total.....	... <u>Br98</u>

84. What are the inventoriable costs per unit associated with Product **WT23**?

- A. Br. 60
- B. Br. 66
- C. Br. 48
- D. Br. 83
- E. All
- F. None

85. Product X is sold for Br.8 a unit and Product Y is sold for Br.12 a unit. Each product can also be sold at the split off point. Product X can be sold for Br.5 and Product Y for Br.4. Joint costs for the two products totaled Br.4, 000 for January for 600 units of X and 500 units of Y. What are the respective joint costs assigned each unit of products X and Y if the sales value at split off method is used?

- A. Br.2.96 and Br.4.44
- B. Br.4.00 and Br.4.55
- C. Br.4.00 and Br.3.20
- D. Br.4.55 and Br.4.55
- E. All
- F. None

86. All costs incurred beyond the split off point that is assignable to one or more individual products are called:

- A. Byproduct costs
- B. Joint costs
- C. Main costs
- D. Separable costs.
- E. All
- F. None

87. Which of the following items is NOT an assumption of CVP analysis?

- A. Costs may be separated into separate fixed and variable components.
- B. Total revenues and total costs are linear in relation to output units.
- C. Unit selling price, unit variable costs, and unit fixed costs are known and remain constant.
- D. Proportion of different products will remain constant when multiple products are sold
- E. All
- F. None

Answer questions 88-90 using the information below:

The following information is for Barnett Corporation:

· Product X:

Revenue \$10.00 & Variable Cost \$2.50

· Product Y:

Revenue \$15.00 & Variable Cost \$5.00

- Total fixed costs \$50,000

88. What is the breakeven point assuming the sales mix consists of two units of Product X and one unit of Product Y?

- A. 1,000 units of Y and 2,000 units of X
- B. 1,013 units of Y and 2,025 units of X
- C. 2,013 units of Y and 4,025 units of X
- D. 2,000 units of Y and 4,000 units of X
- E. All
- F. None

Answer questions 88-90 using the information below:

The following information is for Barnett Corporation:

- Product X:

Revenue \$10.00 & Variable Cost \$2.50

- Product Y:

Revenue \$15.00 & Variable Cost \$5.00

- Total fixed costs \$50,000

89. What is the operating income, assuming actual sales total 150,000 units, and the sales mix is two units of Product X and one unit of Product Y?

- A. \$1,200,000
- B. \$1,250,000
- C. \$1,750,000
- D. \$1,500,000
- E. All

F. None

Answer questions 88-90 using the information below:

The following information is for Barnett Corporation:

- Product X:

Revenue \$10.00 & Variable Cost \$2.50

- Product Y:

Revenue \$15.00 & Variable Cost \$5.00

- Total fixed costs \$50,000

90. If the sales mix shifts to one unit of Product X and two units of Product Y, then the weighted-average contribution margin will:

A. increase per unit

B. stay the same

C. decrease per unit

D. be indeterminable

E. All

F. None

Part V: Auditing and Assurance Services

91. The risk of a material misstatement occurring in an account, assuming an absence of internal control, is referred to as: *

A. Account risk.

B. Control risk.

C. Detection risk.

D. Inherent risk.

E. All

F. None

92. Which of the following is least likely to be considered a financial statement audit risk factor? *

A. Management operating and financing decisions are dominated by top management.

B. A new client with no prior audit history.

C. Rate of change in the entity's industry is rapid.

D. Profitability of the entity relative to its industry is inconsistent.

E. All

F. None

93. Which of the following is not an example of a likely adjustment in the auditors' overall audit approach when significant risk is found to exist?

A. Apply increased professional skepticism about material transactions.

B. Increase the assessed level of detection risk.

C. Assign personnel with particular skill to areas of high risk.

D. Obtain increased evidence about the appropriateness of management's selection of accounting principles.

E. All

F. None

94. Tracing from source documents forward to ledgers is most likely to address which assertion related to posted entries:

A. Completeness.

B. Existence.

- C. Rights.
- D. Valuation.
- E. All
- F. None

95. Determining that receivables are presented at net-realizable value is most directly related to which management assertion?

- A. Presentation and disclosure.
- B. Existence.
- C. Rights.
- D. Valuation.
- E. All
- F. None

96. ISA 705 Modification to the opinion in the independent auditor's report identifies three possible types of modification. In which of the following circumstances would a disclaimer of opinion be issued?*

- A. The auditor concludes that the financial statements include misstatements which are material but not pervasive to the financial statements.
- B. The auditor concludes that the financial statements include misstatements which are both material and pervasive to the financial statements.
- C. The auditor has not been able to obtain sufficient appropriate audit evidence on which to base an opinion but has concluded that the possible effects of any undetected misstatements could be material but not pervasive.
- D. The auditor has not been able to obtain sufficient appropriate audit evidence on which to base an opinion and has concluded that the possible effects of any undetected misstatements could be both material and pervasive.
- E. All
- F. None

97. In planning the audit engagement, the auditor should consider each of the following except*

- A. The kind of opinion that will likely be given
- B. Matters relating to the entity's business and the industry in which it operates
- C. The entity's accounting policies and procedures
- D. Anticipated levels of control risk and materiality
- E. All
- F. None

98. Family and personal relationships between a member of the assurance team and a director, an officer or certain employees, depending on their role, of the assurance client, least likely create *

- A. Familiarity threat
- B. Self-review threat
- C. Self-interest threat
- D. Intimidation threat
- E. All
- F. None

99. Audit risk' represents the risk that the auditor will give an inappropriate opinion on the financial statements when the financial statements are materially misstated. Which of the following categories of risk can be controlled by the auditor?

Category of risk:

- (1) Control risk
- (2) Detection risk
- (3) Sampling risk

A. (1) and (2)

B. (2) only

C. (1) and (3)

D. (2) and (3)

E. All

F. None

100. After the preliminary judgment about materiality has been established, auditors may:

A. Not adjust it.

B. Adjust it downward only.

C. Adjust it upward only.

D. Adjust it either downward or upward.

E. All

F. None